Swiss Re
Corporate Solutions

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13 February 2023

Ms Vida Reid
Forward Focused Group Pty Ltd
90 Amethyst Crescent
Mount Richson WA 6112
vida_reid@yahoo.com

CC:
Alex Cope
JJS Insurance Pty Ltd
alex@jjsinsurance.com.au

Dear Ms Reid

Re:	**Suspension and potential revocation of registration by NDIS**
Policy number:	**HP-006656-2022**
ProRisk Ref:	**SR2022-284MM**

We refer to your email to Swiss Re Complaints on 19 January 2023 at 7.17 pm, seeking reconsideration of the indemnity position of the claim by Forward Focused Group Pty Ltd (**FFG**) under ProRisk Health Care Professionals Civil Liability Policy No.HP-006656-2022 from 31 March 2021 to 31 March 2022 (**Policy**). We also refer to ProRisk's letter dated 5 January 2023 (**Declinature Letter**).

Swiss Re International SE (**SRI**) is the underwriter of the Policy and has conducted a Stage 2 review of the claim in light of your email.

Having done so, SRI confirms the indemnity position as outlined in the Declinature Letter.

1. BACKGROUND

1.1 The factual background is set out in the Declinature Letter and, as such, we do not repeat it here.

2. INDEMNITY

2.1 The indemnity position outlined in the Declinature Letter is that Exclusion 3.1 of the Policy applies to the whole of the claim and there is no cover for any part of the claim by FFG as:

(a) one aspect of the NDIS investigation, and its decision to suspend FFG's registration, is due to alleged veiled and direct threats, bullying and harassment by employees and officers;

(b) threats, bullying and harassment, whether written or spoken word, each satisfy the ordinary definition of "*verbal abuse*";

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(c) the NDIS investigation is therefore connected with "*verbal abuse*" committed by employees/officers of FFG; and

(d) Exclusion 3.1 applies to both actual and alleged abuse. It is not relevant that there is no final determination. It is sufficient that there is only an allegation of abuse for Exclusion 3.1 to operate.

2.2 In your email, you asked that matter be escalated to Stage 2 as the Stage 1 process had not resolved the complaint to your satisfaction.

2.3 FFG's basis for requesting a Stage 1 review was that the Declinature Letter assumed FFG's knowledge of the alleged abuse, but did not state the basis for the assumption.

Review

2.4 Having reviewed the NDIS Revocation Notice, Suspension Notice, the Policy, the Declinature Letter and your email, we agree that the indemnity position set out in the Declinature Letter, and the stated basis for the Declinature Letter, is sound.

2.5 In relation to your point that the Declinature Letter assumed FFG'S knowledge of the alleged abuse, it is stated in the Revocation Notice that you, also referred to as the "*Founding Executive Director of FFG*", were the perpetrator of the alleged abuse.

2.6 The Revocation Notice outlines the following examples of "*veiled and direct threats, bullying and harassment*":

(a) across May and June 2022, the Provider attempted to obtain control of participant funds and participants supports for participant Alexis Bott. When the participant confirmed, in writing that they didn't want to take the action to release their funds from the existing manager the Founding Executive Director writes "we will be terminating your services with us effective immediately".

(b) series of emails 24 June 2022 to 19 June 2022 regarding participant Sarah-Jane Clulow advising a four week notice for service termination. The emails show that the participant was seeking review of an invoice for services not received.

(c) on 1 July 2022, the Provider responds to an account statement from a supplier stating that, ""we will no longer pay any invoices for Sarah. She has terminated her contract with us."

(d) series of emails 15 June 2022 to 19 June 2022 regarding participant Corina Abraham ceasing some services with Hybrid Hive. The participant seeks to meet to discuss their concerns. By email dated 19 June, the Provider through Vida Reid purports to cease support coordination and terminate the contract for all services with immediate effect. The email claims "ongoing abusive manner of our staff by yourself NDIS Quality and Safeguards Commission 5 and the break in trust" as the grounds. The email includes a perceived threat that invoices are to be paid immediately or be reported to the NDIS.

(e) email 16 June 2022 by the Founding Director to participant, Ms Abraham, provides that the support worker has a non-compete and non-disclosure contract which will prevent her for working privately for the participant. It also states that if the participant had "come to us in good faith...I would have said okay."

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(f) *email 16 June 2022 by the Founding Director to participant, Ms Abraham, "I would like all of your outstanding invoices paid immediately please or I will report this to the NDIS".*

2.7 The alleged perpetrator is stated in the above emails to be the "*Founding Director*" of FFG. FFG is the policyholder.

2.8 In circumstances where the "*Founding Director*" has direct knowledge of the alleged abuse, as she is identified as the alleged perpetrator, that knowledge is therefore attributed to FFG.

2.9 In any event, the carve out for vicarious liability does not operate because the policyholder was aware of the alleged abuse.

3. CONCLUSION

3.1 The outcome of Stage 2 IDR review is that indemnity is not available for the entirety of the claim.

3.2 Consistent with ProRisk's Complaints Process (**attached**), if you are not satisfied with the outcome of this Stage 2 review, you may refer the matter to the Australian Financial Complaints Authority (**AFCA**).

3.3 AFCA is an independent external dispute resolution service available to policyholders to review insurance disputes. AFCA can advise you whether your dispute falls within their Terms of Reference as not all customers and disputes are covered. Your dispute must be referred to AFCA within 2 years of the date of our final decision. Determinations made by AFCA are binding upon us. You may contact AFCA at any time during the complaints handling process for information including whether or not, your complaint or dispute falls within their Terms of Reference, at:

Online:	www.afca.org.au
Phone:	1800 931 678
Email:	info@afca.org.au
Post:	Australian Financial Complaints Authority GPO Box 3 Melbourne VIC 3001

Yours sincerely



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